

and a profit of ₹1,423 crore in 2022-23. "AMCs operate efficiently with minimal capital. They don't demand significant capital unless there's a strategy to discount heavily or offer low fees," says Tej Shah, Portfolio Manager at Marcellus Investment Managers.

Following the 2016 demonetisation, when Vijay Shekhar Sharma's Paytm and Google Pay were amassing payments customers in the QR code frenzy by offering cash backs, Ambani, who had a payments banking licence, kept out of the fray.

Jio Payments' senior executives would regularly present a business case in their review meetings. Ambani would listen patiently without uttering a word, perplexing the senior executives. In hindsight, the billionaire's plan to leverage his retail and telecom networks becomes clear.

Jio's payments bank licence allows it to offer current accounts and savings accounts (the so-called CASA combo of cheap funds) but doesn't allow lending activity. Jio has a UPI app that allows customers to recharge their mobiles, pay utility bills, shop online, and purchase travel tickets, among other things. It also offers third-party investment, insurance, and borrowing products. Jio Payments Bank can apply for a small finance bank licence.

Ambani is scouting for reputable global partners in life-, general-, and health insurance businesses. The insurance industry has everything going for it: low insurance penetration, a young population, rising life expectancy, growing consumer awareness about financial security, etc. Health insurance is emerging as the fastest-growing segment. "It will use predictive data analytics to co-create contextual products

with partners and cater to customer requirements in a truly unique way," said Ambani at the AGM. Currently, Reliance Retail Insurance Broking distributes insurance products and earns commissions. While life insurance is a cash guzzler because of agent commissions, the general and health insurance businesses don't require much capital.

Equity brokerage is yet another area where JFS will likely make its presence felt. Technology advances, regulatory changes and shifting investor preferences are rocking India's ₹38,000-crore equity-broking industry. Zerodha revolutionised the equity brokerage business and grabbed a significant market share by offering a zero-brokerage model. New players, such as Groww, Upstox, and 5paisa, generate revenue from subscription fees, margin interest, or premium services.

"The business landscape has also evolved, with companies now offering fund-based products such as margin funding," says Arun Chaudhry, Chief Business Officer at m.Stock, a trading app that is part of South Korea's Mirae. The surge in demat accounts after the Covid-19 pandemic's lockdowns and disruptions has fuelled a growing market for cross-selling services like mutual funds, wealth management, research, and financial planning. It is a sector ripe for disruption. Enter JFS.

JFS has to quickly adapt and find its unique strengths in various business models, whether advisory services, margin funding, or financial planning, to achieve growth and success. "The increased regulations have made the industry more transparent and trustworthy, giving people confidence that their interests are being safeguarded," says Chaudhry.



HITESH KUMAR SETHIA
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This ex-ICICI Bank exec has had stints in London, Frankfurt, and Hong Kong. Has done extensive work in digitisation of trade finance and cash management services



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A former ICICI hand, his last stint was with SBI as its CFO



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Another former ICICI hand, he was a part of Kamath's team at New Development Bank headquartered in Shanghai, China